ECONOMIC SURVEYS

I. 2. b. 6.

IRELAND

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS MARCH 1967

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq.km.)	69
Agricultural area (av. 1961-65) as % of total area	67
Population of major cities, with suburbs, 1966 census:	
— Dublin Co. Borough	647,000
— Cork Co. Borough	126,000
— Dun Laoghaire Co. Borough	85,000
— Limerick Co. Borough	57,000

THE PEOPLE

Population (April 1966)	2,881,000
Number of inhabitants per sq.km.	41
Increase in population:	
Annual average 1961-1966	12,500
Natural increase in population:	
Annual average 1961-1966	29,250
Emigration:	
Annual average 1961-66	16,800
Annual average per thousand of population	6
Labour force, total at work, April 1965	1,050,000
Employment in:	
— Agriculture, forestry and fishing	338,000
— Industry and construction	291,000
— Other sectors	421,000

PRODUCTION

Gross national product in 1965 (£ million)	1,601
GNP per head (US dollars) (1965)	977
Gross fixed investment (1965):	
— as % of GNP	20
— per head (US dollars)	193
Origin of gross domestic product in 1965:	
— Agriculture	22 %
— Industry and construction	33 %
— Services	45 %

THE GOVERNMENT

Public current expenditure on goods and services, 1965 (as % of GNP)	13
General government current revenue, 1965-66 (as % of GNP in 1965)	24
Public debt, 31st March 1965 (as % of central government current revenue 1965-66)	270
Composition of Parliament (February 1967):	
Fianna Fail	73 seats
Fine Gael	46 —
Labour	22 —
Others	3 —
Last elections: April 1965	

LIVING STANDARDS

Food consumption, calories per head per day (1964)	3,459
Average weekly earnings of industrial workers in June 1966 (in shillings)	233
Public current expenditure on education per head, in US dollars (1965-1966)	34
No. of passenger cars in use per thousand of population (1965)	99
No. of telephones per thousand of population (year ended 31st March, 1965)	72
No. of radio and television licences per thousand of population (year ended 31st March, 1965)	184

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP, 1965	36
Main exports, 1965 (% of total domestic exports):	
— Live cattle	20
— Beef, fresh	6
— Textile manufactures	4
— Machinery and electrical goods	4
— Bacon	4
— Clothing	4
— Beer	3
— Butter	3
— Textile fibres and waste	3
Main customers, 1965 (% of total):	
— United Kingdom	71
— European Economic Community	13
— United States	4
Imports:	
Imports of goods and services as % of GNP, 1965	42
Main imports 1965 (% of total):	
— Machinery and electrical goods	17
— Chemicals, including fertilisers	9
— Vehicles	8
— Textile manufactures	8
— Petroleum	4
Main suppliers, 1965 (% of total):	
— United Kingdom	53
— European Economic Community	15
— United States	8

THE CURRENCY

Monetary unit : Irish pound.

Currency unit per US dollar 0,357

ECONOMIC SURVEYS BY THE OECD

IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in March 1967.

CONTENTS

Introduction 5

I **Recent Developments in the Economy** 5

Changes in demand 5

Output and Employment 8

Incomes, Costs and Prices. 10

The Balance of Payments.. 13

II **Economic Policy** 17

Fiscal Policy 18

Monetary Policy 20

III **Prospects and Policy Conclusions** 23

Statistical Annex. 27

BLANK PAGE

INTRODUCTION

The restrictions imposed on the economy during 1965, following the deterioration in the balance of payments, reduced the rate of economic growth well below the average rate experienced since 1958. In 1966, the balance of payments improved markedly, but contrary to expectations the expansion of the economy slowed down still further. It will be an important task of the authorities in 1967 to ensure that a rate of growth more in keeping with the economy's potential is realized, while at the same time limiting the deficit on the current account of the balance of payments to a level which can be financed without undue calls on foreign borrowing or on the reserves.

I. RECENT DEVELOPMENTS IN THE ECONOMY

Changes in demand

During 1965, the sharp deterioration in the balance of payments in the first half of the year necessitated measures to restrict the expansion of the economy. The gross national product (GNP) increased by only 2.5 per cent in real terms, after rising at an average annual rate of nearly 4.5 per cent between 1958 and 1964. Prior to the budget in March 1966, the authorities projected a rise in real GNP appreciably higher than that recorded in 1965, on the basis of certain assumptions, in particular that personal incomes would increase no more than 3 per cent on average, that rates of taxation would remain unchanged and that there would be no widespread disruption of output by industrial unrest. None of these assumptions were in fact realized.

The balance of payments improved in 1966, although the improvement occurred mainly in the first half of the year. Official policy was eased somewhat as the year progressed. Helped by the easing of restrictions, economic expansion, after coming to a halt in the first half of the year, was resumed, but only at a moderate pace. The most recent information available suggests that the volume of output in the year as a whole probably increased by less than 1 per cent.

TABLE 1. **GROSS NATIONAL PRODUCT AT CONSTANT 1958 PRICES**

Annual percentage change.

	1962	1963	1964	1965	1966 *Estimate*
Personal consumption	3.6	3.4	5.5	1.4	—
Public authorities' current expenditure	5.6	5.3	3.7	2.3	1.1
Gross fixed capital formation	14.5	14.6	12.5	9.7	— 5.9
Change in stocks *(£ million)*	+ 10.7	+ 10.8	+ 16.0	+ 21	+ 15
Exports of goods and services[1]	— 1.4	7.0	5.5	0.9	7.1
Imports of goods and services[1]	5.5	9.8	12.6	3.7	— 0.5
Gross national product	3.0	4.1	4.0	2.5	0.6

1. The main difference between these figures and those appearing in Irish publications is the exclusion of emigrants' remittances.

Source: Irish submission to the OECD.

After showing only a marginal increase in 1965, exports of goods and services formed the most expansionary force in the economy during 1966. Imports of goods and services increased only marginally, affected by the slow growth of the economy, in particular a fall in investment activity, and to a much lesser extent the temporary import levy. Net imports of goods and services, on a national accounts basis[1], fell from £ 56 million in 1965 to about £ 30 million, the decline representing about 2.5 per cent of GNP.

Personal consumption expenditure, which in Ireland accounts for about 70 per cent of GNP, showed little or no increase in volume in 1966. The slower growth of economic activity, the uncertain outlook, credit restraint and rising prices all appear to have played some part in curtailing expenditure. The situation improved, however, in the course of 1966. In the first half of the year, the value of retail sales, a fairly reliable guide to total consumer spending, was slightly lower than in the same period of 1965, implying a sizeable reduction in volume terms. In August and September the trend was completely reversed, with the value of sales 8-10 per cent above corresponding 1965 levels. Increases of this order were not maintained in the remaining months of the year, but there was nevertheless a significant improvement on the early months of 1966. The explanation of the marked fluctuations during the year lay partly in a number of special factors, including a bank strike, which resulted in delay in settling accounts and made it difficult for the banks to control credit. Other factors were, anticipatory buying prior to the introduction of a wholesale tax in October, higher incomes following the wage awards in the spring and summer and some easing of credit conditions at the end of July.

1. OECD definition.

After rising by 5 per cent in 1965, public authorities' current expenditure increased by about 7 per cent in value in 1966. With prices of government services rising more rapidly, the increase in volume terms in 1966 was, however, no more than about 1 per cent, compared with an increase of 2.3 per cent in 1965.

Gross fixed investment in the period 1960-65 increased on average much faster than the economy as a whole, but in 1966 fell by about 6 per cent. The decline was influenced to some extent by the restrictions on capital outflows from the United States and the United Kingdom, but the main factor was the restrictive monetary and budgetary policies pursued at home. In October 1965, measures were taken to contain the public capital programme when it became apparent that it was making an undue call on resources and that restrictions on demand were required in view of the deterioration of the balance of payments; this reduced expenditure in volume terms slightly below the level planned in the Second Programme (Table 2) which had been based on the assumption of a 4 per cent annual rise in real GNP. In the March 1966 budget covering the fiscal year ending March 1967, the public capital programme was further reduced. In volume terms the cuts implied a decline of about 5 1/2 per cent between the fiscal years 1965-66 and 1966-67—the decline may in fact have been no more than 2 1/2 per cent, following revisions to figures for the budget outturn in 1965-66 and additional allocations for housing and ancillary expenditure in July 1966. As the public capital programme accounts

TABLE 2. **PUBLIC CAPITAL PROGRAMME**

£ million.

	1963-64	1964-65	1965-66	1966-67 BUDGET EST.	BUDGET EST. REVISED JULY 1966[1]
	Actual				
Building and construction	21.9	27.3	34.0	33.4	35.9
Agriculture, forestry and fishing (incl. agr. credit)	16.9	21.7	21.0	18.9	18.9
Fuel and power	15.3	15.3	13.5	14.5	14.5
Telephones	4.6	6.1	6.8	6.2	6.2
Transport	6.3	13.5	9.6	9.5	9.5
Industry (incl. industrial credit)	9.8	9.7	10.3	10.2	10.2
Other	3.7	4.2	4.1	5.1	4.1
Total (current prices)	78.5	97.8	99.3	97.8	99.3
Total (end-1963 prices)[2]	78.5	93.2	91.8	87.8	89.1
Total (2nd Programme estimate, end-1963 prices)	78.5	96.1	95.6	94.2	

1. Budget estimate as increased by special supplementary allocation of £ 1.5 million for housing and sanitary services.
2. Total at current prices deflated by the price index for gross fixed capital formation.

Source: Second Programme for Economic Expansion, Budget 1966 and Secretariat estimates.

for about half of total gross capital formation, and as 30 per cent of the programme is devoted to the financing of private capital projects, the cuts must have had a very direct effect on private investment. Import data point to a fall in investment in machinery and equipment in the first half of 1966. There appears to have been some recovery in the second half, but for the year as a whole there must have been a sizeable decline. New houses constructed with state aid, which account for all but a small proportion of the total number of houses built, in the first nine months of 1966 were 17 per cent below the number in the same period of 1965.

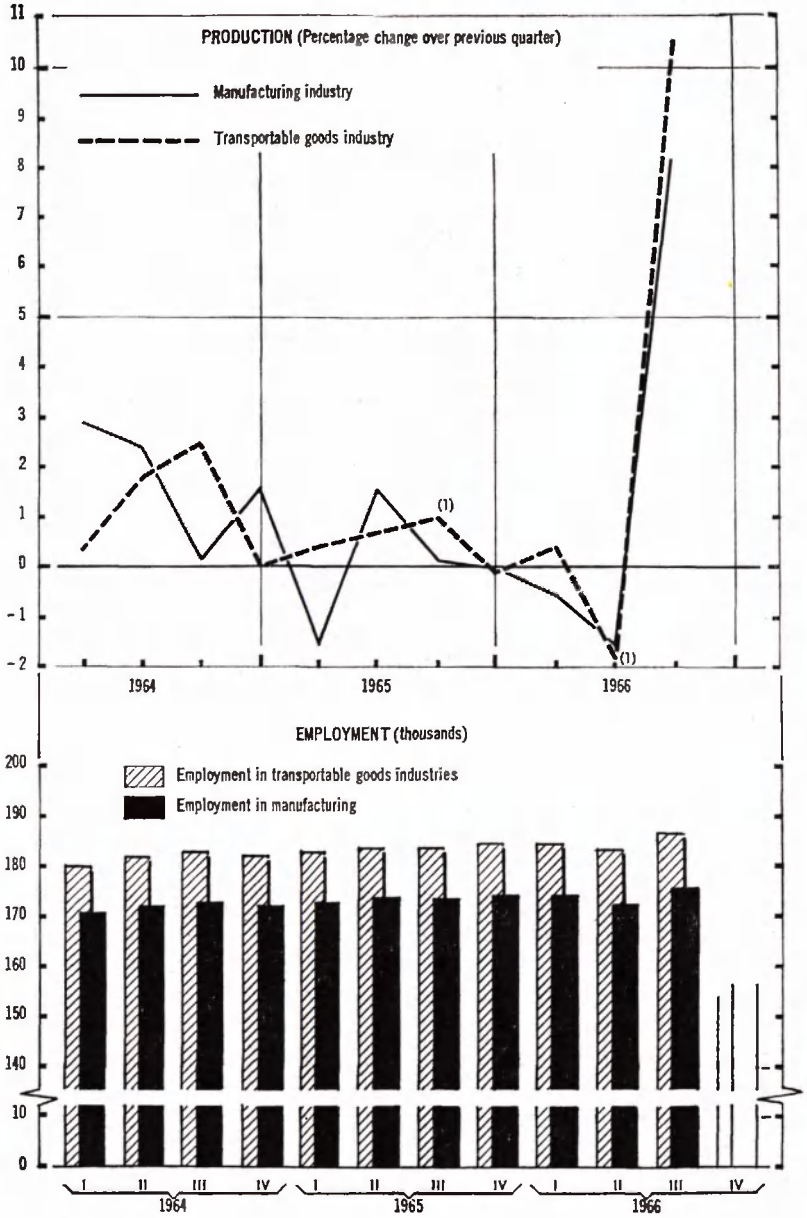
Output and Employment

Production in the transportable goods industries, which increased by 8 per cent in 1964, but only 3 per cent in 1965, rose by about 3 1/2 per cent in 1966. The trend of output during the year varied markedly. If allowance is made for seasonal influences, output in the first quarter was about 2 per cent above the level in the second half of 1965. In the second quarter, however, output fell by about 2 per cent, influenced by a number of special factors, including strikes in the paper making and food manufacturing industries and an interruption of oil refining owing to installation of new plant. In the third quarter production jumped by as much as 10 per cent (seasonally adjusted). The increase was evident in manufacturing industries but was even more marked in mining, quarrying and turf production, with output of turf in particular benefiting from favourable weather conditions. Preliminary information for the fourth quarter points to the resumption of a slower growth of total industrial production.

In 1965, the volume of gross agricultural output, including livestock changes, increased by 0.9 per cent, but owing to a large rise in inputs, the volume of net output fell by almost 3 per cent. Preliminary information suggests that there was little change in the volume of gross agricultural output in 1966, but as inputs during the year fell, the volume of net output may have increased slightly. Because of that a good harvest may have offset a 10 per cent decline in crop acreage. The cattle population, however, increased more slowly. At the mid-year census the total amounted to 5,590,000, an increase of 4 per cent since mid-1965, compared with a rise of 8 per cent in the previous year.

Employment in the transportable goods industries followed the trend of output, with the increase in the third quarter particularly large, followed by probably no more than a modest increase in the fourth quarter. Agricultural employment continued its downward trend, but, perhaps because of reduced opportunities for re-employment in other sectors, declined by only 8,000, after falling by 14,000 in 1965. Over the year, the total number at work probably fell by about 5-10,000. The unemployment rate in the first nine months of 1966 averaged 6.1 per cent, a 1/2 per cent higher than the rate in the same period of 1965. This was the highest level since 1960, with the exception of 1963, when the winter was unusually severe. The

Diagram 1. **PRODUCTION AND EMPLOYMENT**
SEASONALLY ADJUSTED



1. Affected by strikes.
Source: Irish Statistical Bulletin.

rate would have been still higher but for an increase in emigration. The net outward passenger movement by sea and air—a fairly reliable guide to the trend of emigration, although not to actual numbers—rose from 25,000 in the twelve months ended October 1965, to 30,500 in the corresponding period ending in October 1966.

Incomes, Costs and Prices

Since the late 1940's, there have been 'wage rounds' covering the greater part of wage and salary earners about every two years. The ninth wage round came into operation in January 1964, and covered the two-and-a-half years up to mid-1966. In September 1965, negotiations started between the Irish Congress of Trade Unions (ICTU) and the employers' organisations to determine increases to be granted under the tenth round. After a number of meetings no settlement was reached, and in January 1966, the ICTU adopted as its objective a maximum increase of £ 1 a week for all employees. The authorities reacted immediately by pointing out that if the maximum rise sought were in fact to become the average, it would be equivalent to an increase in wages and salaries of about 7.5 per cent, more than twice the 3 per cent increase thought justified in the light of productivity trends.

Further talks followed in February between employers' and employees' representatives, but again without success. In March the Government confirmed its view that it would be harmful to the economy if the average increase in personal incomes over the year ahead were to exceed 3 per cent. It also stated that it would favour special consideration being given to lower-paid workers, and urged that no increase should be sought or expected in 1966 in the higher ranges of income, above £ 1,200 a year. This approach, it was intimated, would be followed in dealing with pay claims in the public sector. In April, the Labour Court, a conciliation body, took the view that if wage increases were restricted to 3 per cent, there would be widespread industrial unrest; it recommended, with certain qualifications, that negotiations between employers and unions should proceed on the basis of increases not exceeding £ 1 for male adult workers, smaller increases for female workers and juveniles. Shortly afterwards, the Government said they did not dissent from the Court's view that, in existing circumstances, prolonged interruptions of production might have a worse effect on the national economy than an increase in wages exceeding the expected increase in national production. The Government advocated, inter alia, that efforts should be made to raise productivity and thus avoid any need to increase prices, that a ceiling of £ 1,200 a year should be observed and that there should be general acceptance of the Court's recommendation that the increase be paid in two instalments.

Although some trade unions were not in favour of limiting the size of wage claims to a maximum amount or to employees earning less than £ 1,200 a year, the tenth round was, in general, negociated without preci-

pitating serious strikes. The Government firmly rejected increases out of line with the Labour Court's recommendations for employees directly in its pay; the limits were not observed, however, by all State-owned concerns nor, in all cases, in the private sector. Pay increases appear, furthermore, to have been granted in their entirety, instead of in two instalments, as recommended by the Government. In addition to strikes for higher wages under the tenth round negotiations, there were a large number of strikes in 1966 not directly related, but concerned more with status claims, claims for shorter working hours, service pay, etc. These included a 12-week bank strike and a strike in the electricity industry. To deal with the threat to essential services created by the latter strike, the Government introduced emergency legislation giving it the right to suspend the 1906 Trade Disputes Act in respect of the industry. The Government have made it clear that they would consider a repeal of the emergency legislation if there could be an assurance that electricity supplies would be maintained. Apart from this specific piece of legislation, proposals for the amendment of the Industrial Relations Acts and the Trade Union Acts, generally, are also at present under discussion with the interested parties; the proposals include suggestions aimed at strengthening the authority of the Labour Court.

Non-agricultural employee income in 1965 rose by about 6 per cent, and following the wage awards would appear to have risen by much the same rate in 1966. Agricultural employee incomes probably rose rather less than the 1965 increase of 5.6 per cent. Farm incomes, which suffered from a fall in export prices, were supported in 1966 by a number of special measures. In February, supplementary budget estimates totalling £ 2 million were introduced to provide larger price supports for pigs and dairy products. In May, incomes were further increased by £ 5.5 million (in

TABLE 3. **EMPLOYEE INCOMES AND WAGE RATES**

ANNUAL PERCENTAGE CHANGE

	1960	1961	1962	1963	1964	1965	1966
A. *Employee Income:*							
Agricultural incomes	3.0	—1.2	1.8	—2.9	7.8	5.6	5.3
Non-agricultural incomes	8.1	9.8	10.6	7.5	17.1	5.8	5.7
Total	7.8	9.1	10.1	7.0	16.6	5.7	5.7
B. *Wages:*							
Agricultural workers[1]	3.9	2.8	11.6	±0.0	18.6	10.7	8.0
Transportable goods workers[2]	6.8	5.8	10.0	3.7	12.3	3.0	8.0[3]

1. Average weekly rates in July of each year.
2. Annual average weekly earnings.
3. January-September only.

Source: Irish Statistical Digest, Second Programme for Economic Expansion—Progress Report, 1965.

a full year) partly by a rise in the prices of butter and milk and partly through increased supports, financed by tax increases in June.

With total non-agricultural employee income rising by about 6 per cent, labour costs probably continued to increase at much the same rate in relation to the underlying growth of productivity as in 1965. The slower growth of the economy did not therefore act as a brake on the rise in costs; and the increase in costs at a time when output was rising more slowly sharply reduced the growth of profits, an important factor underlying the decline in private investment in 1966.

Consumer prices rose in 1966 by almost 3 per cent, after rising by 5 per cent in 1965. The improvement was due entirely to a slower rise in food prices—only 0.5 per cent in 1966, compared with 6 per cent in 1965. Non-food prices in both years rose by about 5 per cent and 4 per cent respectively. Consumer prices jumped sharply following the tax increases in the March, 1966 budget. Of the 3.75 per cent increase in non-food prices between mid-February and mid-August, about half was due to the effects of higher taxes. Wage awards made during the year also affected prices. Experience in 1964, when the ninth wage round was implemented, suggests that large increases in wage costs are likely to be reflected in higher prices within the space of about 3-9 months. Much of the effect of wage

TABLE 4. **COST AND PRICE INDEX NUMBERS**
1960 = 100

	WHOLESALE PRICES		AGRICULTURAL PRICES	FOREIGN TRADE			CONSUMER PRICES	
	MATERIALS FOR USE IN INDUSTRY	OUTPUT OF INDUSTRY		EXPORTS	IMPORTS	TERMS OF TRADE	FOOD	TOTAL
1963	103.0	107.0	102.6	101.6	102.6	99.0	107.3	109.8
1964	108.8	112.0	113.6	108.4	103.5	104.7	114.0	117.1
1965	110.9	115.8	118.2	110.2	106.0	104.1	120.9	123.0
1966							121.6	126.7
1964 : IV	111.3	113.8	118.1	109.0	105.7	103.1	117.7	119.9
1965 : I	109.6	113.9	122.0	110.5	106.0	104.1	120.5	121.2
II	109.1	115.7	120.3	111.3	107.0	103.9	123.4	123.3
III	111.6	116.7	114.8	111.4	106.9	104.3	120.3	123.8
IV	113.2	117.1	115.5	109.8	106.8	102.8	119.3	123.8
1966 : I	112.7	117.7	117.7	110.4	107.0	103.1	119.7	123.9
II	114.2	119.9	119.7	112.5	107.9	104.3	122.1	126.2
III	116.8	121.8	113.1	119.9	106.6	105.0	123.3	128.2
IV							121.5	128.5

Source: Irish Statistical Bulletin, OECD Main Economic Indicators.

increases in 1966 was therefore probably felt during the year, although it seems unlikely that the full effect was felt, particularly if there was any tendency to delay price increases until the economic climate is more favourable.

The Balance of Payments

The current account deficit, after rising from £ 31 million in 1964 to almost £ 42 million in 1965, fell again in 1966 to about £ 16 million. As the capital inflow upon which Ireland normally relies to finance its current deficit also improved—the improvement being due to government borrowing abroad—there was a substantial addition to the foreign reserves.

TABLE 5. **BALANCE OF PAYMENTS—CURRENT ACCOUNT**

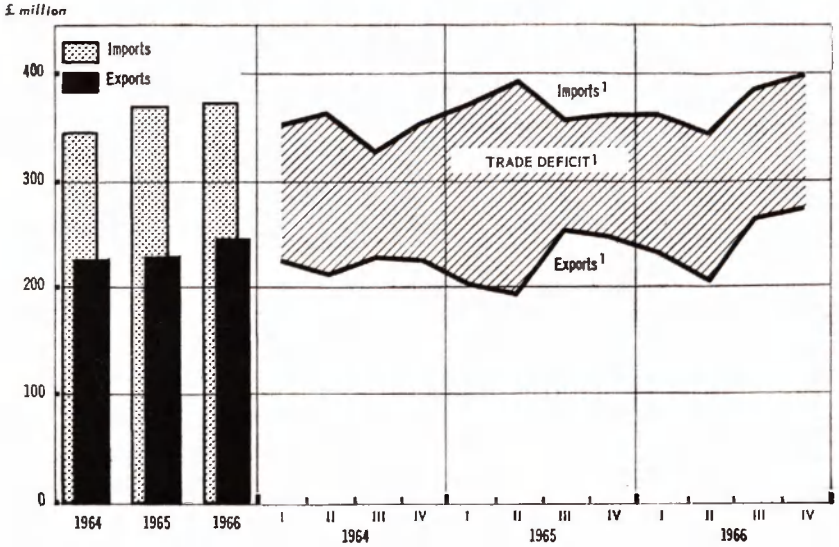
£ million.

	1962	1963	1964	1965	1966 ESTIMATE
Trade Balance	— 100.3	— 110.9	— 125.5	— 147.9	(— 130)
Merchandise exports (fob)	164.6	185.9	212.8	214.5	
Merchandise imports (cif)	— 264.8	— 296.8	— 338.4	— 362.4	
Balance on services	86.8	88.8	94.1	106.2	(114)
Tourism and travel	26.4	27.4	32.9	39.5	
Investment income	13.7	13.5	14.4	20.0	
Emigrants' remittances, legacies	13.4	12.8	13.1	14.1	
Transportation	5.8	5.7	8.7	9.6	
Pensions and allowances	5.8	6.3	6.8	7.1	
Other known current items	11.4	10.8	13.1	15.0	
Balance unaccounted for	10.4	12.4	5.1	0.8	
Balance on current account	— 13.4	— 22.1	— 31.4	— 41.8	(— 16)

Source: Irish Statistical Bulletin and Secretariat estimates.

The trade pattern was disturbed in mid-1966 by the British seamen's strike, which tended to reduce Irish imports more than exports, resulting in a much lower deficit in the second quarter of the year than in the same period of 1965 and a larger deficit in the third quarter. The slow growth of the economy, and to a much lesser extent the temporary import charge imposed in November 1965 on certain finished consumer goods, resulted in declines of £ 4.2 million in imports of capital goods and £ 4.7 million in materials for further production during the first nine months of 1966. Imports of finished consumption goods continued to rise but at a much lower rate than previously. Imports of machinery and equipment were in particular affected by the slow rise of investment. Car imports, no

Diagram 2. **FOREIGN TRADE**



1. Annual rates.

Source: Trade Statistics of Ireland.

TABLE 6. DISTRIBUTION OF IMPORTS ACCORDING TO MAIN USES

	1962	1963	1964	1965	JAN.-SEPT. 1965	JAN.-SEPT. 1966
	Per Cent					
Consumption goods ready for use	21.0	21.2	20.4	21.5	20.7	22.1
Food, drink and tobacco	6.3	6.5	5.7	6.2	6.0	6.3
Other	14.7	14.7	14.7	15.3	14.7	15.8
Producers' capital goods ready for use	14.4	15.4	14.9	16.2	17.0	15.8
Materials for further production	60.5	58.9	60.7	59.1	59.1	58.9
Agriculture	5.8	5.5	4.7	4.8	4.7	3.8
Other	54.8	53.4	56.0	54.3	54.3	55.2
Unclassified	4.2	4.5	4.0	3.2	3.3	3.1
Total imports	100.0	100.0	100.0	100.0	100.0	100.0
	£ million					
Total imports[1]	273.7	307.7	349.3	371.6	280.5	273.2

1. Official trade figures, which differ slightly from the balance of payments figures.

Source: Trade Statistics of Ireland.

doubt hit by the credit restrictions, were much reduced, and imports of aircraft, inflated in 1965 by purchases for the re-equipment of Aer Lingus, were also lower. A good harvest and the completion of new fertilizer capacity reduced both imports of agricultural products and the import requirements of the agricultural sector. The temporary import charge introduced in November 1965 was withdrawn from 30th September. In the fourth quarter of 1966, imports (details of which are not yet available) rose very substantially, leaving the total for the year almost the same as in 1965. The increase in exports, however, resulted in a clear improvement in the trade balance for the year as a whole.

Exports rose only fractionally in 1965, largely because sales of agricultural produce fell by about 4 per cent, affected by a shortage of suitable cattle for export. Industrial exports suffered from the temporary import charge operating in the United Kingdom and the slower growth of the British economy, but nevertheless rose by 5.5 per cent. Full information is still not available for 1966, but it appears that exports rose by about 9 per cent. They would have risen much faster but for the fact that cattle sales, which had been expected to rise well above the 1965 level, were affected by an improvement in the supply position in Western Europe, a fall in prices, and new restrictions imposed on cattle imports into the European Economic Community. Cattle exported in the first nine months

TABLE 7. **TRADE BY AREAS**

£ million.

	IMPORTS[1]		TOTAL EXPORTS[1]		IMPORT EXCESS[2]	
			JAN.-SEPT.			
	1965	1966	1965	1966	1965	1966
EFTA countries	152.1	151.4	116.4	125.8	35.7	25.6
United Kingdom	141.5	141.7	113.9	123.7	27.5	17.9
Other	10.6	9.7	2.5	2.1	8.1	7.6
EEC countries	43.3	36.7	20.8	20.6	22.5	16.1
Other OECD member countries	2.9	2.6	1.5	0.8	1.3	1.8
United States[3]	22.3	24.8	6.1	9.7	16.1	15.2
Canada	7.1	7.2	1.6	1.7	5.6	5.6
All other areas	46.2	44.3	7.8	8.7	38.3	35.6
Re-imports and temporary domestic exports	6.3	5.6	6.6	6.0	—0.3	—0.4
Total	280.5	273.2	162.6	175.4	117.9	97.8

1. Official trade figures, which differ slightly from the balance of payments figures.
2. A minus sign denotes an excess of exports.
3. Including US forces overseas.

Source: Trade Statistics of Ireland.

of 1966 numbered 457,000, an increase of 17,100 above the number in the same period of 1965, but still one-quarter less than in the corresponding period of 1964. Prices of store bullocks and heifers, which form the bulk of cattle exports, fell by almost 4 per cent between the first halves of 1965 and 1966, resulting in an overall fall in the value of cattle exported. Special government-guaranteed payments on fat bullocks and heifers exported to the United Kingdom between 1st August and 30th November helped to maintain the value of cattle exports in the second half of 1966 at about the 1965 level, despite further price reductions. Industrial exports rose by 14 per cent between the first nine months of 1965 and 1966. They were again affected by slow economic growth in the United Kingdom and the temporary import charge, but were helped by free access to the UK market for certain commodities from 1st July, when the Anglo-Irish free trade agreement came into force. Amongst individual export markets, the main improvement in sales took place in the United Kingdom and the United States (Table 7).

The steady increase in the surplus on services transactions was maintained in 1966, with tourism and travel and transportation again the most expansionary sectors. Tourism suffered adverse effects from the British seamen's strike in the period from mid-May to the end of June. Notwithstanding this difficulty, gross tourist income for the year is provisionally estimated at £ 82.7 million, an increase of £ 4.5 million over 1965 income.

After falling from £ 37 million in 1964 to £ 24 million in 1965, the capital inflow rose again in 1966. The greater inflow arose from the Government's entry into foreign capital markets on a relatively large scale. Funds were raised through the issue of £ 7 million Sterling-Deutschmark, 7 per cent bonds in March, a £ 5 million ten-year loan from the Bank of Nova Scotia in June, at 7 per cent, and a £ 5 million issue of 7.5 per cent government stock on the London market in August. In addition, an £ 8 million drawing was arranged with the International Monetary Fund in January, 1966. Thus the total borrowing facilities arranged by the Government in 1966 totalled £ 25 million, of which £ 23 million was actually drawn[1]. Subscriptions to government and local authority issues in Ireland, prize bonds and Exchequer bills also attract foreign funds—£ 2.4 million in 1965, and perhaps even more in 1966. The private capital inflow continued at much the same level as in 1965, despite the restrictions on capital outflows from the United States and the United Kingdom.

Helped by the government borrowing abroad, the foreign reserves rose £ 29 1/2 million, to £ 253 million, in 1966—equivalent to over eight months' imports.

1. Excluding borrowing by semi-State concerns.

TABLE 8. BALANCE OF PAYMENTS
CAPITAL ACCOUNT AND CHANGE IN RESERVES

£ *million.*

	1962	1963	1964	1965
Balance on capital account	22.9	25.9	37.2	24.2
Capital issues by companies	2.6	3.2	6.0	4.1
Purchases and sales of securities	—1.0	0.7	—	2.2
Payments for life insurance	—2.1	—2.3	—2.4	—2.5
External subscriptions to Government and local authority issues, etc.	3.5	5.6	0.1	2.4
Borrowing by semi-state concerns and trade credits	0.6	—0.1	8.5	2.8
Net change in external capital of hire purchase concerns	—0.1	1.5	2.8	2.3
Other capital transactions	19.3	17.3	22.4	12.9
Change in reserves (— = increase)	—9.5	—3.8	—5.8	+17.6
Central bank external assets	—8.5	—15.1	—28.5	+13.9
Associated banks' external assets	—3.7	+13.2	+8.5	+4.2
Government funds	+3.0	—1.0	+14.8	—
Payments to international organisations	—0.2	—0.9	—0.6	—0.4

Source: Irish Statistical Bulletin.

II. ECONOMIC POLICY

At the time of the budget in May 1965, a rise in real GNP of about 4 per cent seemed possible—roughly in line with the experience of the preceding years. No major policy changes were therefore made in the budget, although taxes were raised to finance an increase in expenditure. But evidence of a sharp deterioration in the balance of payments forced the Government to introduce a number of measures in July to restrict the growth of domestic demand and improve the foreign balance. The measures included a considerable tightening of both fiscal and monetary policies, and steps were taken to moderate the rise in incomes and prices. The trade balance improved in the second half of 1965, but the balance of payments remained generally weak and the Government felt it necessary to take further action; price controls were introduced in October and a levy on certain imports was imposed in November. Although the growth of home demand slowed down further and the foreign balance improved considerably in 1966, the posture of demand-management policy remained on the whole restrictive. Monetary restrictions were, however, eased somewhat in the course of the year.

Fiscal Policy

The 1966 budget was brought forward to March in order that tax increases might benefit revenue in the fiscal year 1965-66 ending 31st March. Underlying the budget was the view of the authorities that restrictions could not be relaxed until evidence of a definite improvement in the foreign balance appeared; this attitude was strengthened by the uncertainties surrounding the outcome of the tenth wage round then in progress, the possibility of a decline in the capital inflow and the economic situation in the United Kingdom. The Government was, moreover, experiencing difficulty in obtaining sufficient financial resources with which to finance its expenditure.

TABLE 9. **CURRENT BUDGET**

£ million.

	1965-66 (PROVISIONAL OUTTURN)	1966-67 (BUDGET ESTIMATES)
1. *Receipts*	240.3	262.6
of which: Tax revenue (excl. motor vehicle duties)	193.9	201.3
direct	54.7	58.4
customs duties	57.4	57.9
excise	49.8	51.8
other indirect	32.0	33.2
Motor vehicle duties	9.4	9.8
Non-tax revenues	37.0	39.0
Yield of new taxes, net of relief (March 1966 Budget)	—	12.6[1]
2. *Expenditure*	248.3	262.6
of which: Service of public debt	49.0	55.4
Social services	84.5	89.1
Economic services	54.9	57.5
General services	43.0	43.2
Other expenditure	16.9	17.1
Increased agricultural and social welfare grants (March 1966 Budget)	—	0.3
3. *Deficit*	8.0	—

1. Comprising: income tax, £ 4.5 million; customs and excise, £ 6.7 million; other, £ 1.8 million; reliefs, £ 0.4 million.

Source: Budget, 1966.

The budget had a number of important features. Firstly, the rise in current expenditure was considerably reduced, from 12 per cent in 1965-66 to 5.6 per cent in 1966-67. Secondly, both direct and indirect taxes were increased in order to balance the current budget, the estimated rise in revenue of £ 12.6 million representing 1.2 per cent of GNP. Thirdly,

capital expenditure, which had risen steadily in earlier years, was reduced from a provisional estimate of £ 101.2 million in 1965-66 to a planned £ 97.8 million in 1966-67—these figures were later revised in July to £ 99.3 million for both actual expenditure on the public capital programme and planned expenditure in 1966-67, implying no change in value terms, but a reduction of about 2.5 per cent in volume. All in all, these measures must have had a significant restrictive effect on the economy, and considerably reduced the deficit on the capital budget required to be financed by borrowing either at home or abroad (see Table 10).

TABLE 10. **CAPITAL BUDGET**

£ million.

	1965-66 (ACTUAL)	1966-1967 (BUDGET ESTIMATE)	1966-1967 (BUDGET ESTIMATE REVISED JULY 1966)
1. *Sources of finance:*			
Local authorities and State bodies	28.1	28.5	28.5
Exchequer	94.2	78.0	79.5
National loan and National bonds	21.3	22.0	22.0
Banking system and foreign borrowing	50.6[1]	28.2[2]	28.2[2]
Other	22.3	27.8	29.3
Total	122.3	106.5	108.0
2. *Expenditure:*			
Public capital programme	99.3	97.8	99.3
Other	15.2[3]	8.7[3]	8.7[3]
Current budget deficit	7.8	—	—
Total	122.3	106.5	108.0

1. Including IMF borrowing of £ 8.03 million and Sterling/Deutschmark loan of £ 7 million.
2. Including loan from Bank of Nova Scotia (£ 5 million) and £ 5 million raised in the London money market.
3. Including aids to industry to compensate for effects of British import surcharge totalling £ 2.1 million in 1965-66 and £ 2.5 million in 1966-67.

Source: Budget, 1966, and Irish submission to OECD.

When the March, 1966 budget was presented it was intimated that further proposals for raising revenue would be introduced if for any reason it appeared that a deficit might develop in the current budget. Later in the year, additional expenditure commitments incurred by the Government, including higher pay for public servants, improved social welfare payments and increased supports for farm incomes, made it apparent that a deficit would in fact emerge in the absence of further measures. In June, therefore, taxes on petrol, oil and tobacco were raised further and a selective wholesale tax was introduced, together estimated to increase

revenue in 1966-67 by £ 3 million (£ 7 million in 1967-68) and, when added to a hoped-for increase in revenue buoyancy of £ 2 million above the budget estimate, expected to restore balance.

Monetary Policy

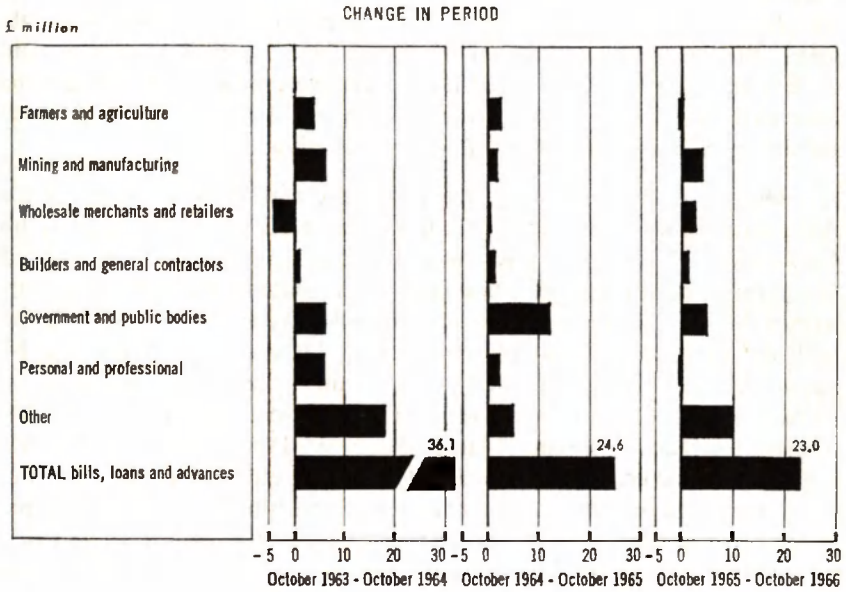
Because of the closure of the banks from May to July owing to a strike of bank officials, banking statistics later than those for April 1966 were only made available towards the end of 1966. Data for the months prior to April showed that there was a marked slowdown of the expansion of bank and hire purchase credit in the course of 1965, particularly in the second half of the year, and in the early part of 1966. An important factor underlying the slowdown of bank credit was the sharp decline in bank liquidity in the first part of 1965; by July the Central Bank Ratio[1] of the Associated Banks had fallen to 17.3 per cent, well below the level of a year earlier (24.0 per cent). This was not an entirely new development, as the ratio had been declining since 1958, when it was about 34 per cent, but the decline steepened after 1962 and was particularly marked in the early part of 1965, reflecting notably the deterioration in the balance of payments. Hire purchase debt showed a similar trend to bank credit, influenced by shortage of finance and the more stringent hire purchase controls introduced in 1965.

Table 11 shows that the explanation of the slowdown of the credit expansion in 1965 lay entirely in the slower growth of bank lending to the private sector. Lending to the public sector was much higher than in 1964. It was to ensure that this heavy borrowing by the Government did not lead to an undue increase in the lending capabilities of the banks that the authorities decided in August to amend the advice on credit policy to the effect that Exchequer Bills rediscounted at the Central Bank would be offset against net external assets and deposits in the Central Bank in calculating the Central Bank Ratio. At the same time, the prescribed minimum Central Bank Ratio to be maintained by the banks, set at an average of 22 per cent for 1965, was fixed at 20 per cent for the end of March 1966, and, in September, official policy eased the strain on bank liquidity when, in order that further government borrowing should not unduly curtail credit available to the private sector, the Central Bank came to the banks' assistance by purchasing from them £ 20 million of 6 per cent Funding Loan, 1969, which they had taken up from the Government. The operation not only helped the banks lend to the Government, it also improved their liquidity position, as no deduction was made from the banks' net external assets and deposits in the Central Bank in computing the Central Bank Ratio—the Ratio therefore rose by about 2 per cent.

1. The ratio of the Associated Banks' net external assets plus balances at the Central Bank, less bills rediscounted with the Central Bank, to their liabilities within the State on current and deposit accounts.

Diagram 3. **BANK ADVANCES**

BILLS, LOANS AND ADVANCES



Source: **Quarterly Bulletin of the Central Bank of Ireland.**

TABLE 11. CREDIT EXPANSION WITHIN THE STATE

Increase over same quarter of previous year, £ million.

	ASSOCIATED BANKS					TOTAL	CENTRAL BANK CREDIT	GRAND TOTAL
	BILLS		INVESTMENTS		LOANS AND ADVANCES			
	GOVT.	OTHER	GOVT.	OTHER			GOVT.	
1965: March	—8.3	0.6	—2.6	—0.2	38.9	28.4	8.5	36.9
June	9.8	0.7	—1.8	0.3	30.2	39.2	8.4	47.6
September	8.2	0.2	—1.2	—0.4	19.9	26.7	10.7	37.4
December	27.5	—1.4	—0.6	—0.7	+ 3.6	28.4	15.2	43.6
1966: March	29.1	—1.6	—0.7	—0.8	— 6.0	20.0	13.5	33.5
December	3.5	—0.1	18.9	—1.1	14.4	35.6	—1.7	33.9

Source: **Quarterly Bulletin of the Central Bank of Ireland, Irish submission to the OECD.**

Although the banks' liquidity position improved in the second half of 1965, bank lending to the private sector continued to slow down, and in the first four months of 1966 actually fell below the level in the same period of 1965. As the Central Bank Ratio remained within the range of 22-26 per cent during the period October 1965-April 1966, appreciably above the 20 per cent minimum stipulated for the end of March, it would appear that the banks followed a conservative credit policy. There may also have been some tendency for credit demand to fall away, influenced by the general slowing down of economic activity.

Official policy governing credit expansion in 1966 was expressed on 3rd March in a letter from the Central Bank to the Irish Banks' Standing Committee. The advice given was that the aggregate amount of credit (comprising bills, loans, advances and investments of the associated banks within the State, including, in the case of bills, Exchequer bills rediscounted with the Central Bank) should not increase by more than 6 per cent between March 1966 and March 1967; that this objective would be subject to review from time to time, and in any event, in the light of the banking returns for June, September and December 1966; that in considering applications for credit the Associated Banks should continue to give priority to purposes of a productive nature, and, within this category, to purposes directly related to the expansion of exports of goods and services. The review referred to in the advice was delayed by the absence, owing to the bank strike, of banking returns later than those for April 1966, but on 29th July the Central Bank issued a preliminary statement of its views about a relaxation of credit policy. The advice was to the effect that in the prevailing economic situation the restraint on credit should be relaxed to some extent and that relaxation was practicable in view of the improvement in the foreign trade balance, which was presumed to have had a favourable influence on the Banks' resources and on the external reserves. At the end of August, minimum hire purchase deposits stipulated for certain durable goods were removed.

When bank statistics for months beyond April became available, they showed that total credit within the State had increased by £ 36.6 million, or 11 per cent, between March and November 1966, the greater part reflecting government borrowing. Only £ 9.7 million consisted of credit to the private sector, an increase of 3 per cent, but this nevertheless represented a reversal of the trend apparent in the early months of the year. The Central Bank Ratio declined over the sameperiod from 24.2 per cent to 22.1 per cent. On the release of the figures, a further letter of advice was sent by the Central Bank to the chairman of the Irish Banks' Standing Committee on 8th December stating that, in view of the general trend of events in the economy since March, and the satisfactory growth of the Associated Banks' resources, a further increase in credit in the current financial year was appropriate. The increase envisaged by the Central Bank for the year was £ 43 million, to bring the aggregate amount out-

standing in March 1967 to £ 407 million, compared with £ 400.5 million in November 1966. Taking account of expected government repayments to the banks in respect of Exchequer bills, it was stated that this should make an additional £ 10 million of credit available to non-government borrowers during the remainder of the financial year.

TABLE 12. BILLS, LOANS AND ADVANCES WITHIN THE STATE

Change compared with same month of previous year, £ million.

	GOVERNMENT	OTHER	TOTAL
Total outstanding January 1965	8.4	288.6	297.0
1965: January	— 0.6	40.3	39.7
April	6.0	34.7	40.7
July	9.1	31.9	41.0
October	11.6	13.0	24.6
1966: January	27.7	— 5.3	22.4
April	19.4	— 10.4	9.0
July	n.a.	n.a.	n.a.
October	16.8	6.2	23.0

Source: Central Bank Quarterly Bulletin.

III. PROSPECTS AND POLICY CONCLUSIONS

Demand prospects for 1967 are difficult to assess because little is yet known about the monetary and budgetary policies that will be adopted for the current year. Assuming no major change in existing policies, 1967 may see some quickening of the expansion, but the rate of growth is likely to remain relatively moderate, probably appreciably below the 4 per cent annual average rate achieved in the 1958-64 period. Judging from the movement of bank liquidity and the increase in the ceiling on bank lending, the credit situation has become easier, but the improvement may not have been very considerable. Most current comment on the situation suggests that credit has until recently been difficult to obtain. In any case, the existing credit ceilings only apply to the current fiscal year (up to the end of March); no guidelines for the coming year have yet been published. Moreover, a considerable tightening of budget policy was effected in 1966. If there is no relaxation in the coming current or capital budget, the revival of demand may remain moderate.

Exports are again likely to be the most expansionary demand element, although it may be difficult to maintain the rate of growth attained in 1966. Access to the United Kingdom market has improved following the implementation of the Anglo-Irish free trade agreement and the removal of the temporary British import charge. But demand in the United Kingdom, which takes about 70 per cent of Ireland's merchandise exports, is likely to grow very slowly in 1967, and prospects for cattle exports are still difficult to assess because of uncertainty about prices. The improvement in the situation in the second half of 1966 was associated more with the special assistance given by the authorities than with any great change in marketing conditions abroad.

Domestic demand may rise relatively slowly. House-building, which fell sharply in 1966, could rise in 1967 if the recent easing of credit policy were maintained. It is, however, difficult to envisage much increase in business investment under present conditions of substantial slack in the economy and little prospect of any great rise in demand. Personal consumption would also benefit from maintenance of easier credit conditions, but will mainly be determined by the trend of personal incomes. The advance in non-consumption expenditure will probably be only moderate, but it is possible that further wage claims will be tabled in 1967, as the arrangements made in 1966, unlike the 1964 settlement, did not specify the period covered by the agreements. In such an event, and if there are no further tax increases, private consumption should rise faster than in 1966. Although there are many uncertainties in the situation, the prospective trends in individual types of demand point to an increase in real GNP of perhaps 2-3 per cent. This is rather less than the underlying growth of capacity, which is of the order of 4 per cent, so that the slack in the economy would tend to increase, entailing a further, although less marked, deterioration of the labour market situation.

In this case, the current balance of payments deficit might remain at the lower level reached in 1966, or even tend to fall further. The rise in exports, although probably lower than in 1966, may exceed the rise in imports, which should remain moderate, given the slow advance in aggregate demand. The invisibles surplus should grow more than in 1966, when tourist receipts, which account for over half of all receipts from services transactions, were affected by the British seamen's strike.

With these trends in the economy, there would seem to be scope for some relaxation of existing demand restraints, thereby encouraging a rate of expansion more in line with the growth of capacity of about 4 per cent a year. Achievement of this may require some stimulus from the capital or current budget, which has a very direct impact on incomes and activity. The tighter budget policy introduced last year was one of the causes of the limited expansion of the economy in 1966. The tightening of credit entailed a restriction of both private and public expenditure,

and it would appear essential to ensure that an appropriate increase in bank credit in 1967 is not hampered by rigid institutional arrangements determining the permissible extension of credit, such as the exclusion of Exchequer bills from the banks' liquidity base. Some relaxation now could contribute quickly to a revival of private demand. Moreover, it is clearly important to ensure that the availability of credit is also sufficient to support an appropriate growth of demand in the public sector.

Faster growth is certainly desirable from the point of view of the state of the labour market; unemployment and emigration have risen and a 2-3 per cent increase in real GNP would hardly lead to any increase in total employment. And since the economy has beeen expanding very slowly for almost two years, an early resumption of a faster rate of growth is probably essential in order to preserve the more dynamic business attitudes created in the first years of the present decade, when a considerable momentum was maintained in the economy.

Some acceleration of the expansion of economic activity should not endanger the balance of payments. The current balance of payments deficit has been considerably reduced. It would probably tend to increase again if a faster rate of growth were resumed, but if the expansion of demand were kept within reasonable limits, the current external deficit should still be sustainable, well below that recorded in 1965 (£ 41.8 million) when the foreign balance was adversely affected by temporary factors. Although restrictions have been imposed on capital exports both in the United Kingdom and the United States, there is still a fairly regular inflow of foreign capital on private account. If necessary some further recourse to government borrowing abroad should also be possible, even though capital market conditions abroad remain generally tight. Moreover, in the event that the inflow of foreign capital should fall short of the deficit to be financed, some use could be made of Ireland's substantial reserves of gold and foreign exchange. A moderate decline in reserves would not seem inappropriate in a period when foreign markets for Irish exports, notably the United Kingdom, are especially weak.

Prices and costs have continued rising, even although the pressure of demand has been low. Apart from the effects of higher indirect taxes and import prices, this continued increase in costs and prices could largely be ascribed to higher unit labour costs. Wages and salaries have continued to rise faster than the underlying trend of productivity, and poor profits in a period of low capacity utilisation added to the pressure on prices from the cost side. The problem of rising costs may therefore have to be tackled by further efforts to develop an incomes policy.

Progress towards a better control of the movement of wages, salaries and other incomes would seem to be a matter of some urgency. There is clearly a relationship between the level of costs and the state of the balance

of payments. During the first half of the 1960's when a satisfactory rate of growth was achieved, the expansion was accompanied by a steady deterioration of the current external account. This was not due to unfavourable external conditions, as it was a period in which foreign demand for Irish products rose relatively fast. This suggests that the maintenance of a satisfactory rate of growth may require an improvement in the competitive position of Irish industry. Since costs probably constitute an important element of this position, a relative improvement in Irish costs would seem desirable. The slack that now exists in the Irish economy represents in a sense the price that had to be paid to achieve the restoration of better price stability despite excessive rises in incomes. If future rises in incomes can be held within reasonable limits, the existence of this slack could be used to take advantage of unusually good possibilities for a substantially higher growth rate than in the past two years.

STATISTICAL ANNEX

BLANK PAGE

TABLE I. EXPENDITURE ON GROSS NATIONAL PRODUCT

	1958	1959	1960	1961	1962	1963	1964	1965	1966 ESTIMATE
	a) £ MILLION AT CURRENT PRICES								
1. Consumers' expenditure	458.4	465.5	495.8	521.4	560.5	592.6	664	708	731
2. Public authorities' current expenditure	70.7	74.1	78.4	83.9	91.8	99.2	120	126	135
3. Gross fixed capital formation	79.9	82.8	89.8	108.7	128.9	149.0	176	198	193
of which: private	68.2	70.2	76.9	92.6	111.2	128.5	153	n.a.	n.a.
public	11.7	12.6	12.9	16.1	17.7	20.5	23	n.a.	n.a.
4. Change in stocks and work in progress	— 7.7	+ 22.2	+ 10.3	+ 7.9	+ 10.6	+ 11.3	+ 18	+ 25	+ 16
5. Exports of goods and services[1]	208.8	216.9	241.0	277.8	280.9	308.7	362	362	393
6. Total use of resources	810.1	861.5	915.3	999.7	1,072.7	1,160.8	1,326	1,419	1,468
7. Less: Imports of goods and services[1]	221.6	237.7	254.6	289.9	307.5	343.4	393	418	423
8. Gross national product at market prices	588,5	623.8	660.7	709.8	765.2	817.4	947	1,001	1,045
	b) £ MILLION AT CONSTANT (1958) PRICES								
1. Consumers' expenditure	458.4	464.5	492.3	505.5	523.5	541.1	571	579	580
2. Public authorities' current expenditure	70.7	72.8	74.4	75.5	79.7	83.9	87	89	90
3. Gross fixed capital formation	79.9	83.5	88.9	104.4	119.5	136.9	154	169	159
of which: private	68.2	70.7	76.1	89.1	103.5	118.5	135	n.a.	n.a.
public	11.7	12.8	12.8	15.3	16.0	18.4	19	n.a.	n.a.
4. Changes in stocks and work in progress	— 7.7	+ 22.9	+ 10.2	+ 7.6	+ 10.7	+ 10.8	+ 16	+ 21	+ 15
5. Exports of goods and services[1]	208.8	212.3	237.7	272.9	269.7	290.5	307	310	332
6. Total use of resources	810.1	856.0	903.5	965.9	1,003.1	1,063.2	1,135	1,168	1,176
7. Less: Imports of goods and services[1]	221.6	242.1	255.3	287.0	302.9	332.6	374	388	390
8. Gross national product at market prices	588.5	613.9	648.2	678.9	700.2	730.6	761	780	786

1. The main difference between these figures and those appearing in Irish publications is the exclusion of emigrants' remittances.

Source: Irish submission to the OECD.

TABLE II. PRODUCTION, EMPLOYMENT AND OTHER ECONOMIC INDICATORS

	1962	1963	1964	1965	1966	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.	1966 4th QTR.
1. Volume of agricultural output[1] *(1953 = 100)*	111.4	110.2	115.0	111.8									
2. Cattle numbers *(thousands, mid-year count)*	4,742	4,860	4,962	5,359	5,621								
3. Index of industrial production, transportable goods[2 3] *(1953 = 100)*	146.1	153.5	165.8	171.0		162.6	176.6	169.0	175.8	165.7	175.6	184.0	
Of which:													
4. Mining and quarrying[2 3]	199.3	218.1	222.7	212.3		159.8	283.0	264.8	141.0	181.0	345.0	415.6	
5. Manufacturing[2 3]	143.6	150.9	163.0	168.7		161.9	172.0	164.8	176.2	163.8	168.7	174.7	
6. Employment in transportable goods industries *(thousands)*[2 3]	173.2	178.2	181.8	183.7		181.3	183.4	184.8	185.2	182.7	182.7	187.9	
7. Number of males engaged in farmwork *(thousands, 1st June)*	360.8	354.9	344.3	330.2									
8. Unemployment (registered) *(thousands)*	47	50	48	50	48	59	46	40	53	57	48	37	51
9. Net outward passenger movements by sea and air[4]	— 21	— 22	— 22	— 27		— 33	+ 23	— 38	+ 21	— 35	+ 16	— 32	
10. Average hours worked per week in transportable goods industries[5] *(number)*	44.5	44.6	44.2	44.0	44.2	43.5	44.0	44.0	44.2	43.4	43.8	44.2	
11. Value of average weekly retail sales *(1961 = 100)*	107	114	124	132		119	132	136	140	120	131	142	
12. New private cars registered for first time[2] *(thousands)*	31.9	37.0	41.4	43.1		12.8	13.9	10.6	5.9	12.4	9.8	11.2	

1. Net output adjusted for stock changes, excluding turf.
2. For items 3, 4, 5 and 6, the 1965 and 1966 figures are provisional; for item 12 the figures for 1966 are provisional.
3. Quarterly figures are for March, June, September and December; annual figures are averages.
4. " + " indicates a net inward movement.
5. Annual figures are for September; quarterly figures relate to March, June, September and December

Source: Irish Statistical Bulletin and OECD Main Economic Indicators.

TABLE III. PRICES AND WAGES

	1962	1963	1964	1965	1966	1965				1966			
						1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1. Consumer prices[1] (mid-August 1953 = 100)	125.3	128.4	137.0	143.9	148.3	141.8	144.3	144.8	144.8	144.9	147.6	150.0	151.0
2. *Of which:* Food prices (mid-August 1953 = 100)	123.2	125.0	132.8	140.9	141.7	140.4	143.8	140.2	139.0	139.5	142.2	143.6	141.5
3. Wholesale prices (1953 = 100)	118.3	119.8	126.8	131.6		130.7	132.7	137.6	131.2	133.0	135.7	134.3	
4. Industrial prices (1953 = 100)	120.8	122.4	128.1	132.5		130.3	132.3	133.5	133.9	134.7	137.1		
Of which:													
simply transformed	107.1	107.4	110.1	111.8		111.3	111.7	111.9	112.4	112.4	114.0		
more elaborately transformed	125.8	128.0	134.9	140.3		137.5	140.0	141.5	142.0	143.0	145.8		
5. Average hourly earnings in transportable goods industries[2] (October 1953 = 100)	164.4	169.8	191.9	197.1		192.9	196.8	197.9	200.8	201.8	213.3		
6. Agricultural prices (1953 = 100)	101.7	102.2	113.1	117.5		122.4	120.7	115.2	115.9	117.2	119.2	112.6	
7. Store cattle prices (1-2 year olds) (average monthly prices at fairs, per head)	39.3	38.9	45.4	48.8		51.5	50.4	48.2	43.9	45.2	44.1	37.8	
8. Minimum weekly wages in agriculture[3] (1953 = 100)	150.3	150.3	178.2	197.2	212.9								

1. Quarterly figures for February, May, August and November.
2. Annual figures for September, otherwise for March, June, September and December.
3. July in each year—annual figure.

Source: Irish Statistical Bulletin.

TABLE IV. MONEY AND BANKING

	1962	1963	1964	1965	1966	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.	1966 4th QTR.
1. Currency circulation[1] *(£ million) (average of Saturdays)*	90.1	93.5	102.7	112.8	116.0	112.8	112.7	113.9	115.8	116.0	117.9[5]	120.7[5]	
2. Rediscount rate of Central Bank[2] *(per cent)*	$3^{55/64}$	$3^{63/64}$	$6^{13/16}$	$5^{7/8}$		$6^{13/16}$	$5^{59/64}$	$5^{27/32}$	$5^{7/8}$	$5^{29/32}$	$5^{15/16}$		
3. Price of 6 per cent Exchequer Bonds[3]													
3. *(per £ 100 stock)*	$100^{1/2}$	$100^{3/4}$	$101^{7/8}$	$97^{1/4}$	$90^{1/2}$	99.8	98.9	95.8	94.4	93.6	91.9	89.0	85.8
4. Price index number of ordinary stocks and shares (1953 = 100)	214.2	261.3	325.5	316.2	295.1	334.3	328.8	303.4	298.2	306.2	303.9	294.2	275.9
COMMERCIAL BANKS[2]:													
5. Current accounts *(£ million)*	160.9	180.5	202.6	210.7		188.7	205.4	201.9	210.7	201.0	209.0[5]	231.2[5]	
6. Deposit accounts *(£ million)*	242.4	242.3	257.4	274.6		261.2	267.4	271.6	274.6	278.5	283.1[5]	298.5[5]	
7. Bills *(£ million)*	13.0	16.5	16.1	42.2		15.1	38.5	34.5	42.2	42.7	46.7[5]	50.0[5]	
8. Loans and advances *(£ million)*	218.7	238.1	274.0	277.6		282.9	290.3	282.2	277.6	276.9	271.4[5]	293.2[5]	
9. Net external assets *(£ million)*	115.1	101.9	93.4	89.3		83.5	76.2	83.9	89.3	93.8	98.3[5]	85.7[5]	
10. Central Bank ratio *(per cent)*[4]	30.2	27.0	23.4	22.9		21.4	17.7	20.9	22.9	24.2	25.8[5]	21.8[5]	

1. Annual figures for March, others for March, June, September and December.
2. End of period.
3. Annual figures are monthly averages, quarterly figures are for March, June, September and December.
4. The ratio of the Associated Banks' net external assets plus balances with the Central Bank, less bills discounted with the Central Bank, to their liabilities within the State on current and deposit accounts.
5. Due to bank strike, 2nd quarter 1966 figures refer to April, and 3rd quarter figures to October.

Source: Quarterly Bulletin of the Central Bank of Ireland, Irish Statistical Bulletin.

Table V. FOREIGN TRADE AND PAYMENTS

	1962	1963	1964	1965	1966	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.	1966 4th QTR.
1. Imports *(£ million, monthly averages)*	22.8	25.6	29.0	31.0	31.1	31.1	33.0	29.6	30.1	30.1	28.6	32.3	33.2
2. Exports *(£ million, monthly averages)*	14.5	16.3	18.5	18.6	20.4	16.7	16.1	21.1	20.6	19.3	17.0	22.0	23.2
3. Trade balance *(£ million, monthly averages)*	— 8.3	— 9.3	— 10.5	— 12.4	— 10.7	— 14.4	— 16.0	— 8.5	— 9.4	— 10.8	—11.6	—10.3	— 10.0
4. Volume of imports[1] *(1953 = 100)*	137.2	151.3	170.0	177.4		178.3	187.4	168.3	172.4	171.1	160.6	184.2	
5. Volume of exports[1] *(1953 = 100)*	149.1	164.5	175.3	173.4		155.4	148.2	194.0	190.6	179.1	154.8	201.8	
6. Import prices[1] *(1953 = 100)*	107.6	109.4	110.4	112.9		112.9	114.1	113.9	113.9	113.9	115.1	113.6	
7. Export prices[1] *(1953 = 100)*	101.9	103.9	110.8	112.7		112.8	113.6	113.9	112.3	112.8	115.1	114.5	
8. Terms of trade *(1953 = 100)*	94.7	94.9	100.4	99.8		99.9	99.6	100.0	98.6	98.9	100.0	100.7	
9. Total external assets *(£ million, end of period)*	234.0	236.9	242.1	224.1		228.6	208.1	220.1	224.1	242.2	245.4[2]	239.4[3]	
of which:													
Central Bank	104.3	119.4	147.9	134.0		144.3	131.1	135.4	134.0	147.6	141.5	146.4	
Associated Banks (net)	115.1	101.9	93.4	89.3		83,5	76.2	83.9	89.3	93.8	98.3[3]	85.7[3]	
Departmental funds	14.6	15.6	0.8	0.8		0.8	0.8	0.8	0.8	0.8	0.8	0.8	

1. Quarterly figures are averages of three months.
2. April.
3. October.

Source: Irish Statistical Bulletin, Quarterly Bulletin of the Central Bank of Ireland.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
53 D Bourke Street, MELBOURNE, C.1.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
Standaard Wetenschappelijke Uitgeverij,
Belgiëlei 147, ANVERS.
Librairie des Sciences
76-78, Coudenberg. BRUXELLES 1.

CANADA
Queen's Printer - L'Imprimeur de la Reine,
OTTAWA.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KÖBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, 75 PARIS-16e.
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
13 AIX-EN-PROVENCE : Librairie de l'Université.
33 BORDEAUX : Mollat.
38 GRENOBLE : Arthaud.
59 LILLE : Le Furet du Nord.
67 STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MUNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 28, rue du Stade, ATHÈNES-132.
Librairie Internationale Jean Mihalopoulos
33, rue Sainte-Sophie, THESSALONIKI

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Emanuel Brown,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Sous - Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria Dante. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House, Government Road,
P.B. 6854.
NAIROBI.

LEBANON - LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
22, Grand' Rue,
LUXEMBOURG.

MALTA - MALTE
Labour Book Shop, Workers' Memorial Building,
Old Bakery Street, VALLETTA.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images*.
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
W.P. Van Stockum & Zoon,
Buitenhof 36, DEN HAAG.
Sub-Agents : AMSTERDAM : Scheltema & Holkema N.V., Rokin 44. ROTTERDAM : De Wester Boekhandel, Nieuwe Binnenweg 331.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
AUCKLAND (P.O.B. 5344)
CHRISTCHURCH (P.O.B. 1721)
DUNEDIN (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO 1.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID 1.
Librería Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E. 1.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
OECD Publications Center, Suite 1305,
1750 Pennsylvania Ave, N. W.
WASHINGTON, D.C. 20006. Tel : (202) 298-8755

VENEZUELA
Libreria del Este, Avda F. Miranda, 52,
Edificio Galipan, CARACAS.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Terazije 27, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, 75 Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, 75 Paris (16e).

OECD PUBLICATIONS
2, rue André-Pascal, Paris XVI°
No. 22,003. March 1967

●

PRINTED IN FRANCE

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1966-1967 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA*
DENMARK*
FRANCE*
GERMANY
GREECE
ICELAND*
IRELAND*
ITALY
JAPAN
NETHERLANDS
NORWAY
PORTUGAL*
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND*
TURKEY
UNITED KINGDOM
UNITED STATES*

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue :	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series :	*33*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT